

India Ratings Assigns Goodluck India’s Bank Loan Facilities ‘IND AA-/Stable’

Jul 14, 2026 | Goodluck India Ltd | Iron & Steel Products

India Ratings and Research (Ind-Ra) has rated Goodluck India Ltd's (GIL) bank loan facilities as follows:

Details of Instruments

Instrument Type	Regulator of Instrument	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (INR million)	Rating Assigned with Outlook/Watch	Rating Action
Bank loan facilities	RBI	-	-	-	11,500	IND AA-/Stable/IND A1+	Assigned

Analytical Approach

Ind-Ra has taken a fully consolidated view of GIL and its subsidiary, Goodluck Defence and Aerospace Limited (GDAL; GIL holds 79.43% stake), jointly known as the Goodluck group, to arrive at the ratings, as the companies have common directors and banker, with cash fungibility with each other, both the entities operate in a similar line of business, and GIL has strong financial and strategic linkages with GDAL; additionally, the treasury operations are integrated. GDAL commenced operations in October 2025. Furthermore, GIL will be infusing funds for GDAL's planned capacity expansion over FY27-FY28.

Detailed Rationale of the Rating Action

The rating reflects the strong financial and strategic linkages between GIL and GDAL. The rating factors in the group’s healthy operating performance, reflected in its strong consolidated revenue base and absolute EBITDA generation in FY26, which are likely to improve further post the ramp-up of GDAL’s operations from FY27. The group benefits from a diversified business profile across multiple end-user industries and product segments. ~~By continuing to browse this site you agree to our cookie policy.~~
However, the rating is constrained by the likely peaking of net leverage (net debt/operating EBITDA) during FY27-FY28, primarily due to the planned debt-led capex in GDAL and GIL for the expansion of capacities. The capex will be funded through a mix of external debt, contribution from GIL, and internal accruals from GDAL. Ind-Ra expects a gradual improvement in the net leverage from FY29, led by an increase in profitability, supported by volume improvement post timely ramp-up of the new capacities, and scheduled repayments of long-term debt. The rating remains constrained by the intense competition and inherent cyclicity in the industry.

List of Key Rating Drivers

Strengths

- Diversified business profile; low customer concentration risk
- Operating and financial performance to remain healthy; likely to be supported by value-added products.
- Commencement of capacity and likely ramp up in GDAL

Weaknesses

- Net leverage likely to peak during FY27–FY28, followed by gradual deleveraging
- Intense competition; inherent industry risks

Detailed Description of Key Rating Drivers

Diversified Business Profile; Low Customer Concentration Risk: The group operates across four major segments - engineering structure & precision fabrication; forgings; precision pipes and auto tubes; and cold formed profile, CR coils pipes & tubes within GIL, which has a combined capacity of 500,000 tonnes per annum (TPA) across its core business segments. It has also strategically entered into a high-margin defence segment through its subsidiary, GDAL. In addition, GIL has been progressively focusing on increasing the revenue share of value-added products, which is likely to support margin expansion and improve the overall business. The company has a healthy export exposure, with exports contributing 27% to the total revenue in FY26 (FY25:

25% and FY24: 27%). Additionally, GIL has been able to record a steady increase in its sales volumes on a yoy basis (FY26: 468,161 tonnes; FY25: 434,323 tonnes and FY24: 369,507 tonnes) The group benefits from low customer concentration, with none of the customers contributing more than 10% to the total revenue. Furthermore, it has been able to maintain steady relationships with marquee clients such as Larsen and Toubro Limited (debt rated at 'IND AAA/Stable/'IND A1+'); Reliance Industry Limited (debt rated at 'IND AAA/Stable/'IND A1+'); ALF Engineering Private Limited; and Salem Steel North America LLC. These steady relationships have resulted in stable and repeat business, providing revenue visibility and reducing dependency on any single customer.

Operating And Financial Performance to Remain Healthy, Likely To Be Supported By Value Added Products: GIL has demonstrated a consistent improvement in its financial performance. The consolidated revenue grew to INR41,003 million in FY26 (FY25: INR39,359 million; FY24: INR35,248 million), and the absolute EBITDA increased to INR3,983 million (INR3,108 million; INR2,822 million). The operating EBITDA margin expanded to 9.7% in FY26 (FY25: 7.9%; FY24: 8%), driven by a favourable shift in product mix toward value-added segments and improved operational efficiencies. GIL's EBIDTA per tonne improved to INR8,506/tonne in FY26 (FY25: INR7156/ tonne; FY24: INR7638/tonne), led by better absorption of fixed costs and an improvement in the product mix. In the medium term, the company's revenue growth and EBITDA margins are likely to be supported by the increasing contribution of high-margin defence products, particularly as GDAL scales up its operations. In addition, the ramp-up of existing capacities along with the commissioning of new capacities is likely to drive higher volumes and improve operating leverage. Overall, the combined impact of capacity expansion, improved utilisation levels, and a gradual transition toward higher-margin businesses is likely to strengthen both topline growth and margin profile over the medium term.

Commencement of Capacity and Likely Ramp-up of operations in GDAL: Under its defence subsidiary, GDAL, the company commissioned an initial capacity of 150,000 shells per annum, which became operational in October 2025. During FY26, GDAL earned a revenue of INR414 million. In FY27 till date, GDAL has secured two orders with an aggregate value of approximately INR3,072 million (one order of about INR522 million and another order of about INR2,550 million). The orders are scheduled to be executed within a timeline of three-to-10 months. These orders provide revenue visibility for FY27 and are likely to facilitate the ramp-up of GDAL's existing capacity utilisation.

Considering the ramp of operations and receipt of orders, the company has planned a significant scale-up of capacity to 400,000 shells, with the expanded capacity likely to become operational between September-October 2027.

Net Leverage Likely to Peak during FY27-FY28, Followed By Gradual Deleveraging: Given the ongoing debt-funded capex, the company's consolidated net leverage is likely to increase in the near term, with a projected peak of around 3.5x during FY27–FY28, depending on the timing and quantum of debt drawdowns for machinery and project execution. However, the net leverage is likely to gradually reduce thereafter, supported by the operationalisation of the expanded capacities, the shift towards high-margin products, and scheduled repayment of term loans. GDAL's capacity expansion project involves a total project cost of approximately INR4,000 million, out of which around INR2,750 million is proposed to be funded through term loans, for which GIL will be providing corporate guarantee, and the debt tie-up has been completed. The balance requirement will be met through funding from GIL and internal accruals generated within GDAL.

Additionally, GIL has undertaken capex of around INR700 million to increase its core capacity to 600,000TPA from 500,000TPA. Of the total capex, approximately INR250 million is proposed to be funded through term loans, while the remaining investment will be financed through internal accruals. The additional capacity is likely to become operational from 4QFY27 onwards, which is likely to support volume growth and improve operating leverage in the medium term.

Given the likely increase in revenue and the healthy order book, the working capital requirements are likely to increase over the medium term. GIL's consolidated debt profile reflects a moderately leveraged capital structure, with borrowings largely aligned to working capital requirements and term loans availed and to be availed for capacity expansion. In FY26, GIL witnessed an increase in its working capital requirement to support its operations, which led to an increase in its interest costs; however, the impact of these factors was largely offset by the rise in EBITDA. The consolidated net leverage (net debt/absolute EBIDTA) was 2.81x in FY26 (FY25: 2.83x; FY24: 1.80x), and the interest coverage (gross interest cost/absolute EBIDTA) remained comfortable at 3.76x (3.87x; 3.64x).

Intense Competition; Inherent Industry Risks: The company's end-user segments primarily include automotive, infrastructure, and construction sectors, which are closely tied to the economic cycle. Capital expenditure in these industries is influenced by factors such as government spending, private investment, interest rates, and overall business sentiment. Consequently, any slowdown in these sectors can directly impact demand for the company's products. However, the company's presence across multiple segments provides a degree of diversification benefit, helping to partially mitigate sector-specific risks, although its overall performance remains linked to the broader economic environment.

GIL faces intense competition from both domestic and international manufacturers. To mitigate the same, the company entered into the high-margin defence sector via its subsidiary, GDAL. GIL’s ability to scale up the overall revenue and margin would be a key monitorable.

Furthermore, the group is exposed to the inherently cyclical nature of the commodity market. Volatility in steel prices can affect the operating margins, particularly in case of sharp price movements. However, a significant proportion of the company’s sales are executed through contract-based orders and include price variation clauses, which provide partial protection against fluctuations in raw material prices and help maintain margin stability.

In the defence segment, despite the higher-margin nature of the contracts, working capital requirements may remain elevated because of elongated inventory and receivable periods. Furthermore, the defence business remains dependent on government procurement cycles and policy decisions, which can influence the timing of order inflows and contract execution.

Liquidity

Adequate: The consolidated free cash balance stood at INR10 million at FYE26 (FYE25: INR18 million; FYE24: INR1,049 million). GIL’s average monthly utilisation of the fund-based limits and non-fund based stood at 85% and at 44%, respectively, during the 12 months ended April 2026. The utilisation is likely to have remained at similar levels in the subsequent period. The debtor days, including retention money, stood at 43 days in FY26 (FY25: 47 days; FY24: 36 days). The inventory days increased to 84 days in FY26 (FY25: 63 days; FY24: 69 days) on account of delays in dispatches. The creditor days reduced to 16 days in FY26 (FY25: 17; FY24: 19). The net working capital cycle stretched to 111 days in FY26 (FY25: 93 days; FY24: 86 days) due to an increase in inventory days. The working capital cycle has been elongated as the orders are project-based. Ind-Ra expects the free cash flows to remain negative (FY26: negative INR2,606 million; FY25: negative INR4,106 million) in the near term due to the capex to be incurred in both GIL and GDAL for the additional capacities. The debt tie-up of the term loan for GDAL’s capex has been completed. GIL has total repayment obligations of INR539 million and INR485 million in FY27 and FY28, respectively. The agency has factored in continued support from GIL to GDAL for the planned capacity expansion, which will remain a key rating monitorable. Any higher-than-Ind-Ra-expected cash outflow to other group entities or unrelated business will remain a monitorable.

Rating Sensitivities

Positive: The following factors may lead to a positive rating action:
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- a steady ramp-up in operations on a consolidated basis, supported by value-added products, leading to growth in the scale of profitability; and
- an improvement of the consolidated credit metrics, with the net leverage remaining below 2.00x on a sustained basis

Negative: The following factors may lead to a negative rating action:

- any higher-than-Ind-Ra expected debt-funded capex and/or deterioration in liquidity; and/ or
- lower-than-Ind-Ra-expected profitability and significant deterioration in the working capital cycle; and/ or
- the consolidated net leverage exceeding 3.00x, on a sustained basis.

Any Other Information

Standalone performance: GIL’s revenue was INR40,677 million in FY26 (FY25: INR39,359 million) and its absolute EBIDTA was INR3,370 million (FY25: INR3,109 million). The net leverage is 2.69x in FY26 (FY25: 2.69x) and interest coverage remained comfortable at 3.64x (3.87x).

About the Company

GIL is a publicly listed Indian engineering and steel products manufacturer, incorporated in 1986 and headquartered in Ghaziabad, Uttar Pradesh. The company was founded by Mahesh Chandra Garg. GIL manufactures steel structures, industrial forgings and precision-engineered products. GIL currently operates with an installed production capacity of 500,000TPA. GDAL, which commenced operations in October 2025, has an operational capacity of 150,000 shells per annum.

GIL manufactures and supplies a diverse array of products to industries such as automotive, aerospace, oil & gas, infrastructure, power, and telecom.

Key Financial Indicators

Particulars - Consolidated	FY26	FY25
Revenue (INR million)	41,003	39,359

EBITDA (INR million)	3,983	3,108
EBITDA margin (%)	9.7%	7.9%
Gross interest coverage (x)	3.76	3.87
Net financial leverage (x)	2.81	2.83
Source: Company; Ind-Ra		

Status of Non-Cooperation with Previous Rating Agency

Not applicable

Rating History

Instrument Type	Current Rating/Outlook		
	Rating Type	Rated Limits (million)	Current Rating
Bank loan facilities	Long-term and Short-term	INR11,500.00	IND AA-/Stable/ IND A1+

Disclosure on instruments / activities and names of regulators:

A list of products/activities or ratings of instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by Ind-Ra on its website. A link to the same has been provided below for ready reference:

Rating Activities

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Bank wise Facilities Details

Complexity Level of the Instruments We use cookies to enhance your browsing experience. By continuing to browse this site, you agree to our cookie policy.

Instrument Type	Complexity Indicator
Bank loan facilities	Low

For details on the complexity level of the instruments, please visit <https://www.indiaratings.co.in/complexity-indicators>.

Annexure

List of instruments and names of regulators of the instruments

As required by SEBI CRA Circular dated Feb 10, 2026, a list of activities or instruments falling under the purview of various FSRs, along with the names of respective FSRs, is being disclosed below:

A. Rating Activity

Sr. No.	Instrument / activity Name	Regulator of the instrument
1	Listed/Proposed to be listed Bonds/Debentures/Preference Shares (all securities)	SEBI
2	Unlisted/Proposed to be unlisted Bonds/Debentures/ Preference share (all securities)	MCA
3	Listed PTCs / Securitisation Notes (originated by entities regulated by RBI)*	SEBI
4	Listed PTCs / Securitisation Notes (originated by entities not regulated by RBI)*	SEBI
5	Unlisted PTCs / Securitisation Notes (originated by entities regulated by RBI)*	RBI
6	Listed Commercial Paper and NCDs with original maturity less than 1 year	RBI
7	Unlisted Commercial Paper and NCDs with original maturity less than 1 year	RBI
8	Loan Facilities (Fund/Non-Fund Based) from Bank / NBFCs/ NHB/ FIs ^	RBI

Sr. No.	Instrument / activity Name	Regulator of the instrument
9	External Commercial Borrowings and other similar borrowings	RBI
10	Certificates of Deposit	RBI
11	Fixed Deposits raised by NBFCs, Banks, HFCs, FIs	RBI
12	Fixed Deposits raised by corporates other than NBFCs, Banks, HFCs, FIs	MCA
13	Inter Corporate Deposits/Loans extended by Corporates	MCA
14	Borrowing programme ~	-
15	Issuer Ratings #	-
16	Credit Ratings for Capital Protection Oriented Schemes (by Mutual Funds and AIFs)	SEBI
17	Credit quality ratings (CQRs) for Mutual Fund Schemes and Schemes of AIFs	SEBI
18	Listed Security Receipts	SEBI
19	Unlisted Security Receipts	RBI
20	Independent Credit Evaluation (ICE)	RBI
21	Expected Loss Ratings (For Loan Facilities [Fund/Non-Fund based] from Banks/NBFCs/NHB/FIs)	RBI
22	Expected Loss Ratings (Listed / Proposed to be listed Bonds / Debentures / Preference Shares (all securities))	SEBI
23	Expected Loss Ratings (Unlisted / Proposed to be unlisted Bonds/ Debentures / Preference Shares (all securities))	MCA

* Includes securitisation transactions involving assignee payout, acquirer's payout.

~ The rated instrument may involve issuance of different instruments such as debt securities (listed or otherwise), bank loans, commercial paper (listed or otherwise), etc. The regulator of the instrument may accordingly be SEBI, RBI or MCA and can only be determined upon issuance. In Press Release(s) subsequent to issuance(s), India Ratings shall separately capture the rated quantum details along with names of respective regulators.

There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

^ Includes bank facilities such as liquidity facility, second loss facility that are part of securitisation transactions.

B. Other activities:

Sr. No.	Activity Name	Regulator of the activity
1	Monitoring Agency	SEBI
2	Research activities, incidental to rating, such as research for Economy, Industries and Companies @	NA

@ permitted by SEBI vide SEBI Master Circular for CRAs.

Note: For instruments or activities falling under the purview of regulators other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

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Evaluating Corporate Governance

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Short-Term Ratings Criteria for Non-Financial Corporates

The Rating Process

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